

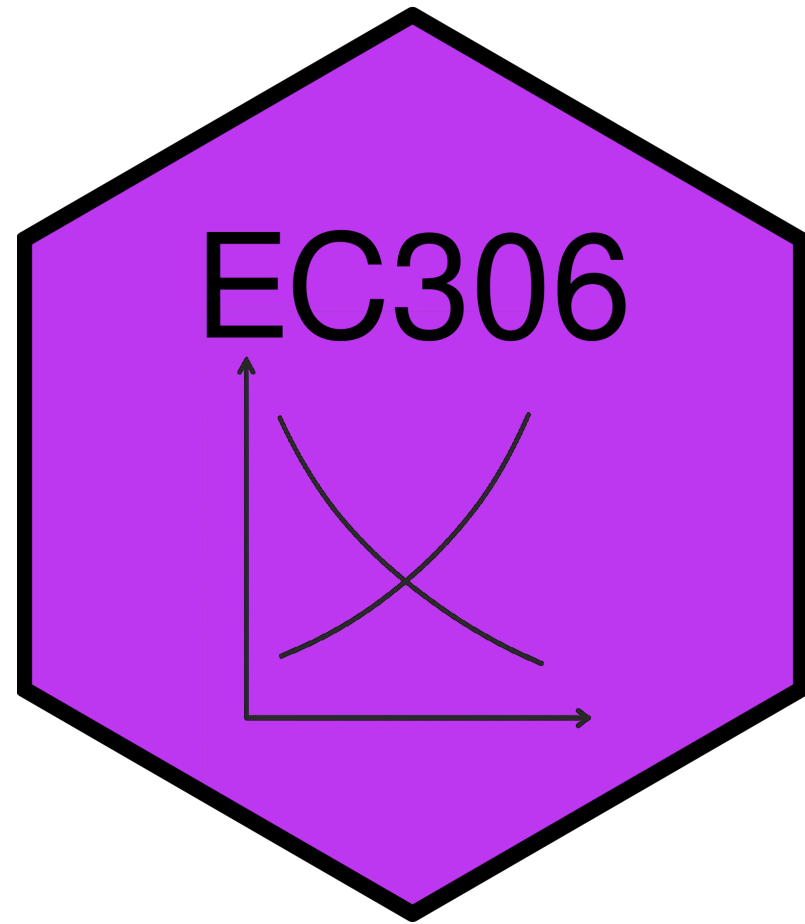
Labour Supply 3 In-Class Questions

EC306- Wages and Employment

Justin Smith

Wilfrid Laurier University

Winter 2026



BGLRS Chapter 4 Problem 1

The evaluation of the labour supply response to a tax cut can be quite different in a dynamic setting from what it is in a static setting. Discuss the relative impact of a permanent versus transitory tax cut on labour supply, and compare the analysis to the static model.

BGLRS Chapter 4 Problem 2

Consider the two-period dynamic labour supply model discussed in this chapter. What, if anything, happens to current labour supply if the interest rate rises from 2 percent to 10 percent?

BGLRS Chapter 4 Problem 4

Use your knowledge of household production theory to indicate the following

a) The expected effect of a wage increase on the wife's labour supply

BGLRS Chapter 4 Problem 4

b) The expected effect on the demand for children of an increase in the wage of a wife

BGLRS Chapter 4 Problem 4

c) Why the substitution effect for labour supply may be larger for women than men

BGLRS Chapter 4 Problem 4

d) The effect on one spouse's labour supply of his or her spouse's disability where the spouse requires home care

BGLRS Chapter 4 Problem 4

e) The effect on this same spouse's labour supply if the government provided financial compensation to the family